BOARD OF CBA

MINUTES

(14.02.2017)

Refinancing Rate of February 14, 2017

The CBA Board Meeting of February 14, 2017 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vaghtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan, Oleg Aghasyan and Arkadi Khachatryan.

The Board meeting opened with presentation of Situation Report as of February 14, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 2.6% of inflation in January of 2017 compared to that of 2.2% recorded in the same month of the previous year, in which case the 12-month deflation rate eased further, reaching 0.6%. The short-term inflation forecasts considered expectations for lower prices of certain non-food products and reduced gas and electricity tariffs. The latter's deflationary effect in the first quarter of 2017 is estimated roughly 0.55 pp. As a result, the recovery of the 12-month inflation rate in the forecast horizon will be a bit much slower.

The Board admitted that there were some inflationary pressures from the external sector, in general. Downward revision of the economic growth was the main highlight in the domestic economy developments, which had been largely determined by supply factors but did not have a significant impact on the inflation. Thus, driven by the decline in agriculture and slowing of the mining industry, the economic growth in 2016 was estimated at 0.3-0.5% against the previous forecast's 1.3-1.8% range. In 2017, however, the pace of economic growth rate will somewhat accelerate, to be in the range of 2.2-3.1%. On the other hand, a slow recovery in domestic demand is noticeable under the influence of expansionary monetary and fiscal policy conducted in 2015-2016.

The Board presented the estimation of impact of the 2017 fiscal policy on the various sectors of the economy. It was stated, in particular, that the fiscal policy in 2017 would be contractionary in comparison with 2016 as a result of reduction of the budget deficit, which would somehow contribute to the widening of the negative GDP gap and offer a slightly slower pace for the deflationary environment to phase out. On the other hand, the reduction of the budget deficit may bring about a lower risk-premium level which, in turn, would lead to the falling of a neutral interest rate. There is, therefore, need to focus on actual developments in the fiscal policy and the degree they leave their impact on the economy.

The Central Bank Board looked at the results of study of the possible option of monetary and macroprudential policy coordination and, in particular, the possibility of taking also into account the developments in the financial sector in implementation of monetary policy. The Board has a consensus that it needs to continue working in this direction since maintaining financial stability and price stability as two policy objectives are too important and enshrined in the new constitution.

The Board admitted that the gradual lowering of the policy rate created favorable conditions for the economy to recover and the demand to bounce back. Yet, if deflationary risks materialize, the use of a traditional toolkit of the country remains limited, since interest rates are quite close to the country's risk-premium level.

It was also noted that in a previous forecasting round the Central Bank Board had talked about some difference between the policy rate and interbank market rates, and the use of necessary tools for liquidity management eliminated that gap, helping the market interest rates approach the policy rate of the Central Bank.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began discussing the monetary policy directions and the interest rate decision-making. Given the macroeconomic situation at the time and the fact that inflation was recovering at a slower pace, the Board of the Central Bank found it reasonable to further loosen the monetary conditions by cutting the refinancing rate by 0.25 pp.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

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THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA
BOARD RESOLUTION

Interest rates of operations by the Central Bank in the financial market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1 Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA

PRESS RELEASE
14.02.2017

On the February 14, 2017 meeting the Board of the Central Bank of Armenia decided to lower the refinancing rate by 0.25 percentage point to 6.0%.

Inflation in January 2017 was 2.6% against 2.2% recorded in the same month last year. The 12-month deflation reduced, making up 0.6%.

Trends in the external sector generally persisted – the global economy continues to grow slowly, while international commodity markets further face some inflationary developments. In the upcoming months, the Board estimates, significant inflationary effects from the external sector are not anticipated.

The Board notes that economic growth estimates for 2016 have decreased, largely due to the influence of supply factors. At the same time, domestic demand is gradually recovering due mostly to expansionary monetary and fiscal policies implemented during 2015-2016. It should be noted that the path to achieving the inflation target will be somewhat slower compared to the previous prediction due to lower expected prices on certain non-food products and reduction in natural gas and electricity tariffs since January and February, respectively. Given these factors, as well as the Government's contractionary fiscal policy in 2017 relative to the previous year, the Board believes that easing the monetary conditions this time again is appropriate and possible.

The Board remains of the opinion that the policy implemented to date has created enough stimuli for neutralizing the deflationary environment in 2017 and fulfilling the inflation target in the forecast horizon, while future possibilities of conventional monetary policy remain limited. However, adhering to the objective of ensuring price stability, the Central Bank of Armenia will, if necessary, respond adequately by using its toolkit, in order to fulfill the inflation target in the medium term.

More information on the setting of interest rate will be available in the Inflation Report (Monetary Policy Program, Q1, 2017) to be published on February 24, 2017.

Press Service of the Central Bank of Armenia